

FinSentry AI

Fraud & Compliance Investigation Policy — Reference Manual

Document version 1.0 | Synthetic reference document for demonstration purposes | Not a real regulatory or institutional policy

1. Purpose and Scope

This document defines the criteria used to evaluate transactions for potential fraud risk. It is intended to guide investigation staff and the FinSentry AI investigation assistant in identifying transactions that warrant additional review. This policy does not authorize automated blocking of accounts or automated fraud determinations. All escalations require review and sign-off by a human investigator before any account action is taken.

2. Transaction Amount Thresholds

POLICY-TRANSACTION-001

High-Value Transfer Verification

Any single transaction exceeding \$200,000 requires secondary verification before processing. If a transaction of this size is combined with a login from a previously unseen device within 10 minutes of the transaction, the case must be escalated immediately for manual review.

POLICY-TRANSACTION-002

Behavioral Deviation from Customer Average

Transactions exceeding five times the customer's historical average transaction amount, calculated from the customer's available prior transaction history, should receive additional review, regardless of the absolute value of the transaction. This threshold is intended to catch anomalies for both low-value and high-value account holders. When no prior transaction history is available for a customer, this check cannot be evaluated and should not be treated as a match.

POLICY-TRANSACTION-003

Severe Amount Deviation

Transactions exceeding ten times the customer's historical average transaction amount, calculated from the customer's available prior transaction history, should be treated as a strong risk signal on their own and should typically be escalated for manual review even in the absence of other risk indicators. When no prior transaction history is available for a customer, this check cannot be evaluated and should not be treated as a match.

POLICY-TRANSACTION-004

Balance Depletion

High-value transfers that reduce a customer's available account balance by more than 90 percent require additional review. A transaction that empties an account is a common signature of account takeover and should be weighted heavily in the risk assessment, particularly when combined with an unfamiliar device or login location.

POLICY-TRANSACTION-005

Rapid Transaction Sequences

Multiple outbound transactions from the same account within a short time window (for example, three or more transactions within a single simulated hour) should be treated as a probable account takeover pattern, particularly when the transactions are of the CASH_OUT or TRANSFER type and are directed toward previously unseen destination accounts.

3. Device and Login Risk

POLICY-DEVICE-001

New Device Usage

A transaction initiated shortly after a login from a device not previously associated with the customer's account should be flagged for review. New-device usage alone is not sufficient grounds for escalation, but it raises the overall risk score and should be considered alongside transaction amount and destination.

POLICY-DEVICE-002

New Device Combined with Unusual Location

A login from a new, previously unseen device combined with a geographic location that differs from the customer's registered home country is a high-risk combination and should be escalated for manual review, particularly when followed by an outbound transaction within a short time window.

POLICY-DEVICE-003

Failed Login Attempts Preceding a Transaction

One or more failed login attempts immediately preceding a successful login and transaction should be treated as a moderate risk signal, consistent with credential-stuffing or brute-force account access attempts.

4. Merchant and Destination Risk

POLICY-MERCHANT-001

High-Risk Merchant Categories

Transactions directed to merchants categorized as high risk (including but not limited to cryptocurrency exchanges, online gambling platforms, and merchants located in jurisdictions with elevated fraud rates) should receive additional scrutiny, even when the transaction amount is within the customer's normal range.

POLICY-MERCHANT-002

First-Time Destination Accounts

A high-value transaction sent to a destination account with no prior transaction history from the originating customer should be treated as a moderate risk signal. This risk increases significantly when combined with any device or location anomaly.

5. Risk Levels and Recommended Actions

Investigations must classify each transaction into one of three risk levels. Risk levels guide the recommended action but do not, by themselves, authorize any automated account action.

Risk Level	Criteria	Recommended Action
LOW	No significant anomalies detected across transaction, device, login, or merchant checks.	NO_ACTION
MEDIUM	One or more unusual characteristics present, but no strong policy match or corroborating signal.	REVIEW
HIGH	Multiple risk indicators present, or a strong match against one or more policies in this document.	ESCALATE_FOR_MANUAL_REVIEW

6. Prohibited Automated Actions

The investigation assistant must never declare a customer fraudulent, must never state or imply that a customer has committed fraud, and must never take direct action against an account (including freezing, blocking, or suspending). The output of an investigation is a recommendation for a human investigator, not a final determination. The three permitted recommendation values are NO_ACTION, REVIEW, and ESCALATE_FOR_MANUAL_REVIEW.

7. Explainability Requirement

Every HIGH risk recommendation must be accompanied by specific supporting evidence, including the transaction facts that were reviewed and the specific policy sections that were matched. Recommendations without cited evidence should not be treated as reliable and should default to REVIEW rather than ESCALATE_FOR_MANUAL_REVIEW.